

Thaler and Bernatzi argue that any time we talk about loss aversion we must also consider the frequency with which returns are calculated. If investors evaluate their portfolios over shorter and shorter time periods, then it is clear that they will be less attracted to volatile stocks. “Loss aversion is a fact of life,” explain Thaler and Benartzi. “In contrast, the frequency of evaluations is a policy choice that presumably could be altered, at least in principle.”⁸

The Lemming Factor

One other psychological trap that beckons investors is the temptation to follow what everyone else is doing, whether or not it makes sense. We might call it the lemming fallacy.

Lemmings are small rodents indigenous to the tundra region and are noted for their mass exodus to the sea. In normal periods, lemmings move about during the spring migration in search of food and new shelter. Every three to four years, however, something odd happens. Because of high breeding and low mortality, the population of lemmings begins to rise. Once their ranks have swollen, lemmings begin an erratic movement under darkness. Soon, this bold group begins to move in daylight. When confronted by barriers, the number of lemmings in the pack increases until a panic-like reaction drives them through or over the obstacle. As this behavior intensifies, lemmings begin to challenge other animals they normally would avoid. Although many lemmings die from starvation, predators, and accidents, most reach the sea. There they plunge in and swim until they die from exhaustion.

The behavior of lemmings is not fully understood. Zoologists theorize that the mass migration occurs because of changes in their food supply and/or stressful conditions. The crowding and competition among lemmings possibly evoke a hormonal change that induces an alteration in behavior.

Why do so many investors behave like lemmings? To help us understand, Buffett shared one of Ben Graham’s favorite stories in Berkshire Hathaway’s 1985 annual report.

An oil prospector, moving to his heavenly reward, was met by St. Peter with bad news. “You’re qualified for residence,” said St. Peter, “but as you